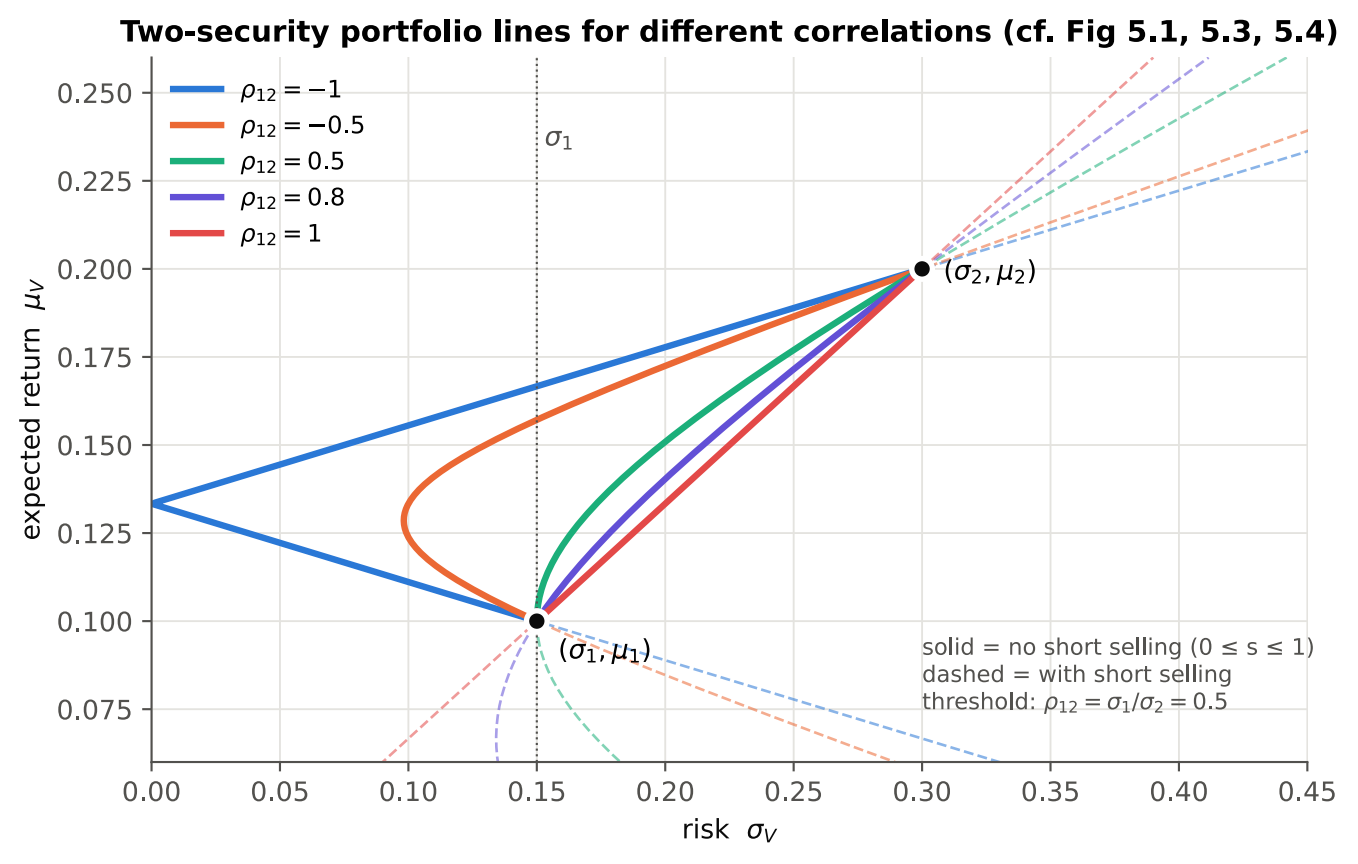

Two-security portfolio lines for different correlations (cf. Fig 5.1, 5.3, 5.4)
$\rho_{12} = -1$
$\rho_{12} = -0.5$
$\rho_{12} = 0.5$
$\rho_{12} = 0.8$
$\rho_{12} = 1$
σ_1
(σ_2, μ_2)
(σ_1, μ_1)
solid = no short selling ($0 \le s \le 1$)
dashed = with short selling
threshold: $\rho_{12} = \sigma_1/\sigma_2 = 0.5$
expected return μ_V
risk σ_V
0.250
0.225
0.200
0.175
0.150
0.125
0.100
0.075
0.00
0.05
0.10
0.15
0.20
0.25
0.30
0.35
0.40
0.45